

US-Canada de-escalation likely requires Trump to act

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Returning negotiators to the table in US-Canada trade talks will likely require President Donald Trump to intervene for pro-deal voices after talks co|||||||||||||

Daily Brief

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summary

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Returning negotiators to the table in US-Canada trade talks will likely require President Donald Trump to intervene for pro-deal voices after talks collapsed late on Friday.

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Unitree's blockbuster IPO confirms China's capital markets are pivoting from consumer internet to strategic hard tech.

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India is turning to France for decades of military aviation partnership as US reliability wanes.

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EG's new geo-technology practice head Heather West fills in for Ian Bremmer this week, outlining why cyber statecraft is on the rise.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, Canada, China, France, India, aerospace, defense, geo-technology, healthcare, and trade.

the top line

Canada, US—Collapse of US trade talks risks further escalation

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US-Canada trade talks collapsed at the 22 August deadline as Section 338 tariffs, intended to jumpstart stalled US-Mexico-Canada Agreement negotiations, took effect. Prime Minister Mark Carney, under public pressure to retaliate dollar-for-dollar despite the economic cost, suspended talks, risking further escalation.

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The deal was reportedly near-final before US Commerce Secretary Howard Lutnick intervened to push for more stringent measures on Canada, pointing to internal White House divisions a key barrier to resolving the trade dispute.

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Section 232 tariffs, US duties on autos, steel, aluminum, and lumber, were among the key sticking points, along with reported US demands that Carney characterized as unacceptable infringements on Canadian sovereignty. The reported tariff concessions were probably the least Carney could accept—he already faced blowback for concessions. De-escalation will likely require Trump to intervene for pro-deal voices like US Trade Representative Jamieson Greer and against figures like Lutnick and advisor Peter Navarro.

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Read more here , and register for our conference call here . Reach out to discuss: canada@eurasiagroup.net .

Canada, US—Chart of the Day: US effective tariff on Canada is now back above IEEPA levels

China—Blockbuster IPOs fund Beijing's homegrown technology drive

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Unitree, the first general-purpose humanoid robotics company on mainland China's stock market, debuted on 19 August at a staggering 857 times projected 2026 earnings, reinforcing that Beijing's push for homegrown alternatives to Western technology is finding receptive investors as China's domestic capital markets step up to fund strategic tech.

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Unitree's IPO reflects capital shifting toward hard tech, reinforcing a broader rotation from China's traditional internet leaders toward robotics, AI, and advanced manufacturing that Beijing continues to support. As AgiBot, Galbot, and X Square Robot prepare to list, a growing supply of comparable names should ease demand for Unitree's shares.

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China tech valuation is bifurcating: investors are increasingly discounting consumer-internet platforms such as Alibaba and PDD while rewarding so-called hard-tech names. Shein's large-discount Hong Kong IPO reflects external regulatory pressures, and we expect this divergence to persist, making sector selection increasingly important for China equity investors.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

India, France—India will rely on France to power its military aviation

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A three-part package that includes India's participation in France's sixth-generation fighter program, the procurement of 114 Rafale fighter jets, and the joint development of a jet engine is likely to make France India's primary military aviation partner for decades.

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Despite a last-minute proposal from Rolls-Royce, Safran remains the frontrunner to co-develop a high-thrust engine for India's future domestic fighter jets.

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India is increasingly turning to Europe for defense technologies, as US export controls and strategic unreliability hinder defense cooperation.

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Read more here . Reach out to discuss: southasia@eurasiagroup.net .

EG Update—Heather West on AI, cyber warfare, and statecraft

Heather West, EG's new geo-technology practice head, fills in for Ian Bremmer on this week's EG Update . She highlights a gap she keeps noticing: AI-orchestrated intrusions and state-aligned actors inside critical infrastructure are old news on the cybersecurity circuit; on the East Coast, they land as revelations. Cyber statecraft is now for everyone.

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Cheaper than kinetic war, harder to attribute, easier to calibrate than sanctions.

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Open, cyber-capable AI removes capability as the constraint.

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State-linked actors use those positions for signaling and statecraft, not just conventional attack.

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Cyber is an equalizer—not equal power, but a borderless instrument of coercion in far more hands.

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Companies carry traffic, store data, run compute. Nobody is writing the rules, and the front line has moved.

Brazil—Voter fatigue will give Caiado and Santos a runoff path

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The high rejection of both President Luiz Inacio Lula da Silva and Senator Flavio Bolsonaro creates structural room for an alternative opposition candidate to reach the runoff, a scenario to which EG assigns 30% odds.

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Alternative presidential candidates must first build name recognition to near 15% in polls by mid-September, then make a direct electability case against Bolsonaro to attract strategic votes.

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Three signposts will determine whether any candidate breaks through: name recognition gains, messaging discipline around upward mobility, security, and corruption, and the carefully timed deconstruction of Bolsonaro.

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

upcoming conference calls

24 August 10:00 AM ET—US-Canada trade update. Register here .

eg in depth

Healthcare, US—Biotech investment screening hinges on Treasury's 2027 rule

The Biotech Investment National Security Act, introduced in the Senate on 6 August, would add biotechnology—including pharmaceutical development, biologics manufacturing, and clinical research—to outbound investment screening under the Comprehensive Outbound Investment National Security (COINS) Act. Sponsors frame the bill in geopolitical terms, arguing China is acquiring resources

that threaten US interests. EG's basecase is that the bill will not pass by year-end—it lacks a must-pass vehicle and will not be attached to the National Defense Authorization Act—and it will continue to add pressure on Treasury ahead of its March 2027 deadline for COINS implementing regulations. Corporate impact will instead hinge on Treasury's rulemaking—under which Treasury already holds authority to add biotech to COINS without new legislation—and specifically whether that rule targets licensing or equity, the near-term watchpoint. Read more here . Reach out to discuss: healthcare@eurasiagroup.net

Upcoming events:

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25 August: Data: Taiwan industrial production (IP), US Conference Board consumer confidence; Central bank decision: Hungary.

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26 August: Events: Nvidia earnings; Data: Russia IP, US consumer income, PCE price index, and GDP; Central bank decision: Thailand.

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27 August: Data: China industrial profits, Mexico trade, and US wholesale inventories; Central bank decisions: Philippines and South Korea.

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28 August: Events: BYD earnings; Data: Eurozone consumer confidence, India IP, Japan unemployment, US UMich consumer confidence and nonfarm payroll preliminary revisions.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, and Trista Kelley, with help from Astral Betteridge and Blaise Hanson.

closing quip

"Canada wants the benefits of being a State, without being one!!! They have also charged our great farmers, for many years, massive amounts of Tariffs. No more!!!"—Trump posted on Truth Social on 23 August.

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